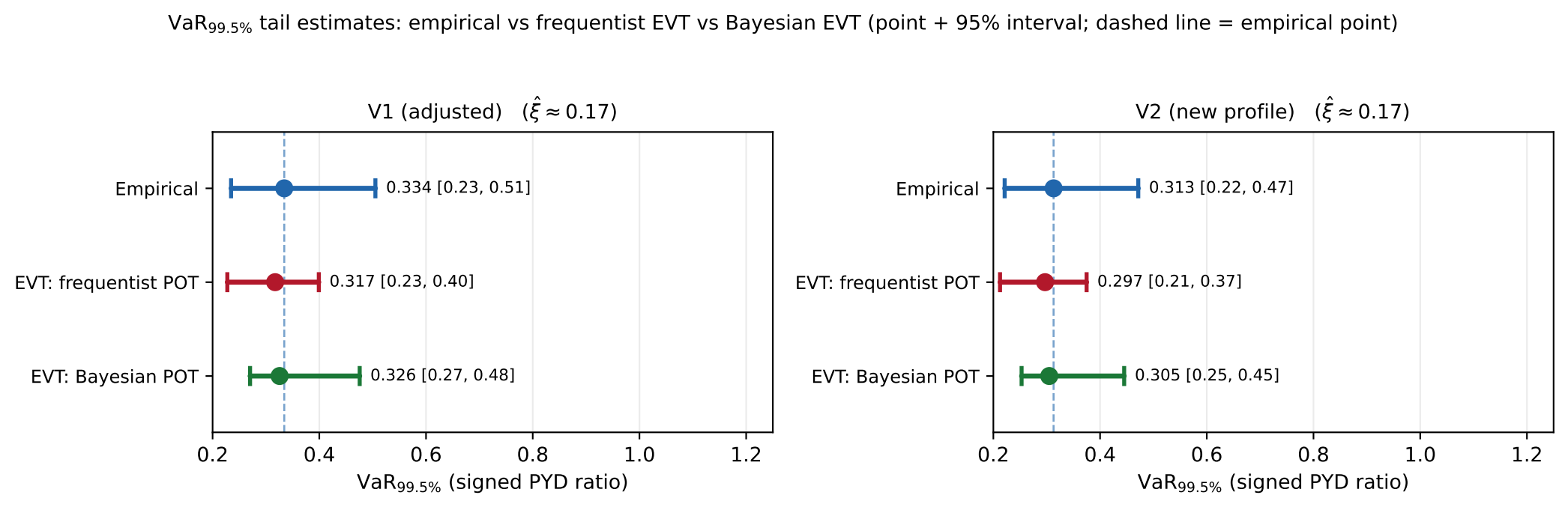
VaR99.5% tail estimates: empirical vs frequentist EVT vs Bayesian EVT (point + 95% interval; dashed line = empirical point)
V1 (adjusted) ($\hat{\xi} \approx 0.17$)
Empirical
EVT: frequentist POT
EVT: Bayesian POT
0.334 [0.23, 0.51]
0.317 [0.23, 0.40]
0.326 [0.27, 0.48]
0.2
0.4
0.6
0.8
1.0
1.2
VaR99.5% (signed PYD ratio)
V2 (new profile) ($\hat{\xi} \approx 0.17$)
Empirical
EVT: frequentist POT
EVT: Bayesian POT
0.313 [0.22, 0.47]
0.297 [0.21, 0.37]
0.305 [0.25, 0.45]
0.2
0.4
0.6
0.8
1.0
1.2
VaR99.5% (signed PYD ratio)